

# PRICE ACTION MADNESS

PART FOUR!

Starting 1900 CT tonight

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Theo**TRADE**

# Goals for Tonight

- Continuing last week's "multiple timeframe" session on price action by performing decision-based exercises on multiple timeframes
- Your requested examples
- Questions

# I: Review: Understanding Trends with Price Fractals

There are two major rules  
for Price Fractals:

1) Larger Timeframes  
establish and dominate  
the trend.

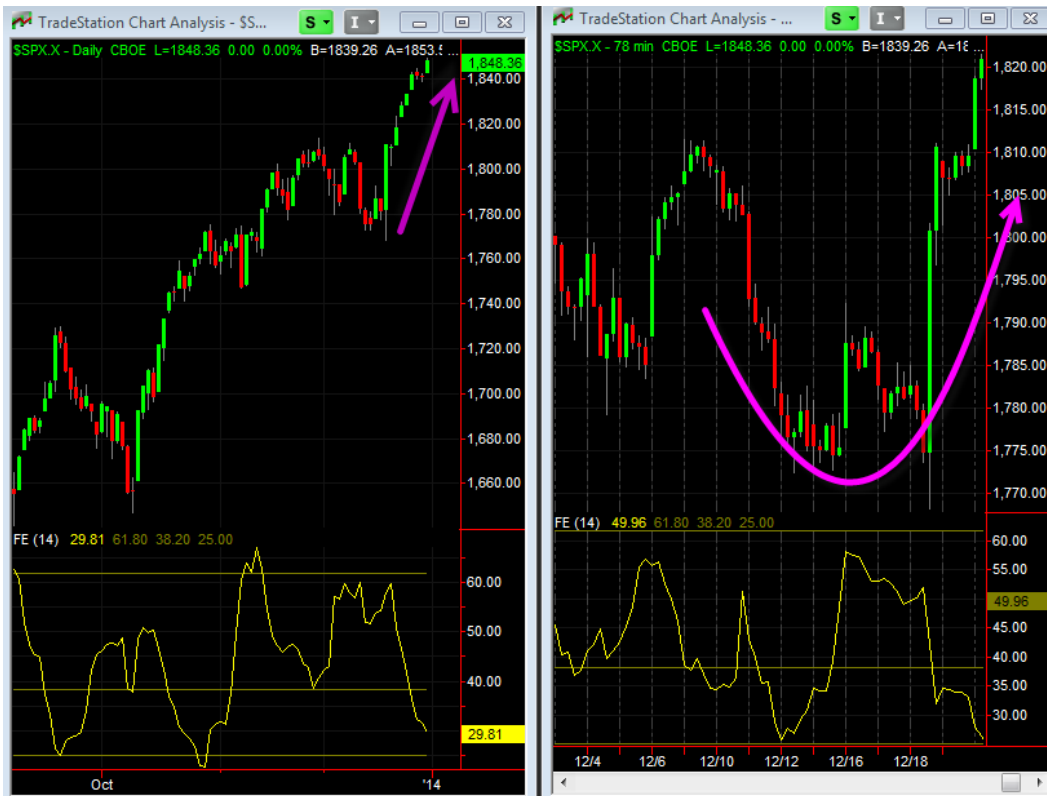
# Larger Timeframes = Trend



The Monthly Chart, and to a smaller degree the Weekly Chart, establishes the main trend of the market.

2) Reversals start from the “inside-out” with smaller timeframes first, and propagate upwards.

# Reversals Start Small



Reversals start from the very smallest timeframes, and “propagate” upwards.

Here is the guidance that I gave last week:



1) Define what your “signal” chart is. For swing traders, this will generally be a Daily chart. For Daytraders, this will be a smaller time-or-tick chart.

2) Add an “anchor” chart that is either 5x or 25x larger than your signal chart.

3) Trade your signal chart as before, but trade in the direction of the swings on that anchor chart!

4) Just stick to adding one additional timeframe for now. No need to add a full fractal series. Master that parent/child relationship first before adding more.

Let's do some fractal timeframe work intraday on the NQ 2min/50 min charts....

/NQ 5 d 50m D: 2/27/17 3:10 PM O: 5345.5 H: 5349 L: 5342.75 C: 5348.5 R: 6.25 Y: 5354.54

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/NQ 5 d 2m D: 2/27/17 3:52 PM O: 5344.75 H: 5346.5 L: 5344.5 C: 5345.5 R: 2 Y: 5354.5

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/NQ 5 d 50m D: 2/24/17 12:40 PM O: 5322 H: 5326.5 L: 5319 C: 5320 R: 7.5 Y: 5350.31

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/NQ 5 d 2m D: 2/24/17 12:42 PM O: 5323.5 H: 5324 L: 5322.5 C: 5323 R: 1.5 Y: 5350.3

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/NQ 5 d 50m D: 2/26/17 6:30 PM O: 5348.5 H: 5349.5 L: 5343 C: 5343.75 R: 6.5 Y: 5355.65

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/NQ 5 d 2m D: 2/26/17 7:00 PM O: 5349.25 H: 5349.5 L: 5348.75 C: 5349.25 R: 0.75 Y: 5355.61

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/NQ 5 d 50m D: 2/26/17 5:40 PM O: 5340 H: 5351 L: 5337.25 C: 5348.25 R: 13.75 Y: 5355.72

IV%: 34 ©2017 © TD Ameritrade IP Company, Inc.



/NQ 5 d 2m D: 2/26/17 6:30 PM O: 5348.5 H: 5348.5 L: 5347.75 C: 5347.75 R: 0.75 Y: 5355.69

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/NQ 5 d 50m D: 2/27/17 2:40 AM O: 5346.5 H: 5350.5 L: 5345.25 C: 5348 R: 5.25 Y: 5352.94

IV%: 34 2017 © TD Ameritrade IP Company, Inc.



/NQ 5 d 2m D: 2/27/17 3:10 AM O: 5348 H: 5348.25 L: 5346.25 C: 5346.75 R: 2 Y: 5352.89

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/NQ 5 d 50m D: 2/26/17 6:30 PM O: 5348.5 H: 5349.5 L: 5343 C: 5343.75 R: 6.5 Y: 5353.5

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/NQ 5 d 2m D: 2/26/17 7:02 PM O: 5349 H: 5349 L: 5348.5 C: 5349 R: 0.5 Y: 5353.46

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/NQ 5 d 50m D: 2/26/17 8:10 PM O: 5342 H: 5342.75 L: 5339.25 C: 5341.5 R: 3.5 Y: 5354.64

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/NQ 5 d 2m D: 2/26/17 8:16 PM O: 5339.5 H: 5340.5 L: 5339.25 C: 5340 R: 1.25 Y: 5354.62

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/NQ 5 d 50m D: 2/27/17 10:10 AM O: 5335.5 H: 5338.5 L: 5326.25 C: 5334.75 R: 12.25 Y: 5359.87

IV%: 34 2017 © TD Ameritrade IP Company, Inc.



/NQ 5 d 2m D: 2/27/17 10:38 AM O: 5334.5 H: 5338 L: 5334 C: 5336.25 R: 4 Y: 5359.87

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I'm going to switch over to “tick” charts for a moment so that you can see the difference...

/NQ 5 d 6875t D: 3/1/17 4:30 PM O: 5385.25 H: 5386.75 L: 5384.75 C: 5385.5 R: 2

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/NQ 5 d 275t D: 3/1/17 4:59 PM O: 5385.5 H: 5386.25 L: 5384.75 C: 5385.5 R: 1.5

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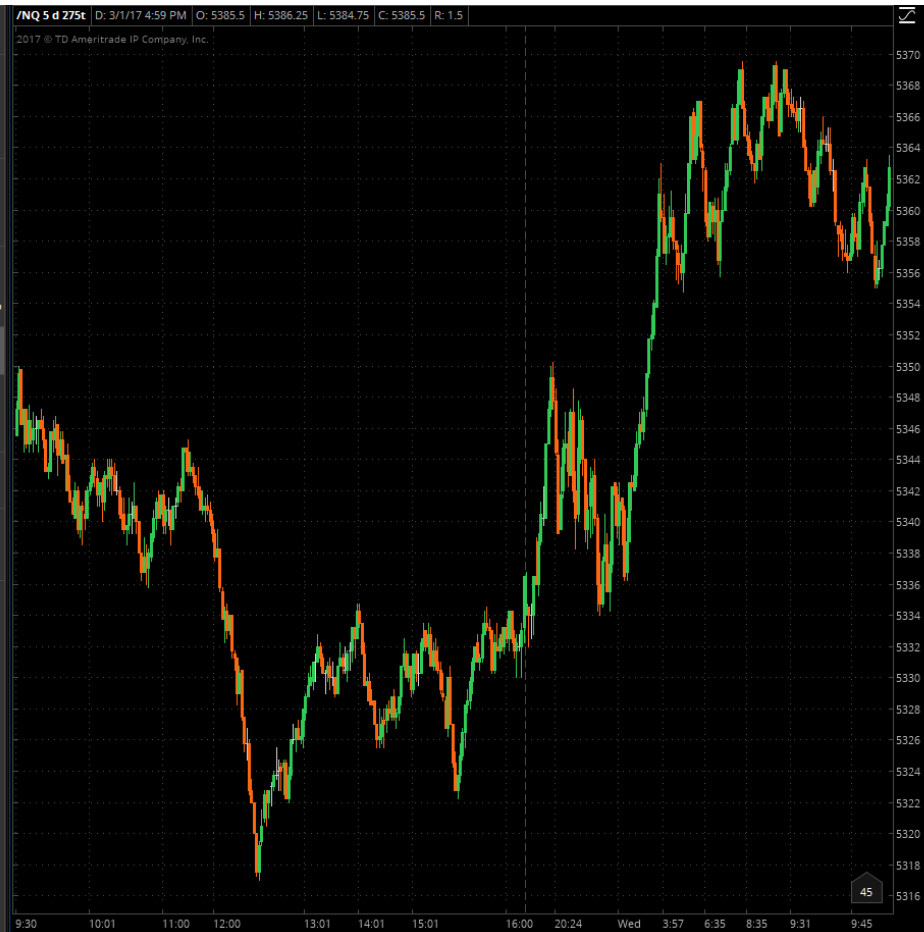
/NQ 5 d 6875t D: 3/1/17 4:30 PM O: 5385.25 H: 5386.75 L: 5384.75 C: 5385.5 R: 2

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/NQ 5 d 275t D: 3/1/17 4:59 PM O: 5385.5 H: 5386.25 L: 5384.75 C: 5385.5 R: 1.5

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/NQ 5 d 6875t D: 2/23/17 12:10 PM O: 5323 H: 5332.75 L: 5322.25 C: 5331 R: 10.5 Y: 5376.86

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/NQ 5 d 275t D: 2/23/17 12:27 PM O: 5330 H: 5330.5 L: 5328.25 C: 5329.5 R: 2.25 Y: 5376.81

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/NQ 5 d 6875t D: 2/23/17 1:05 PM O: 5330.75 H: 5333.75 L: 5325.25 C: 5331.5 R: 8.5 Y: 5375.49

1 IV%: 34 2017 © TD Ameritrade IP Company, Inc.



/NQ 5 d 275t D: 2/23/17 1:53 PM O: 5328.5 H: 5330.25 L: 5328.5 C: 5330.25 R: 1.75 Y: 5375.52

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/NQ 5 d 6875t D: 3/1/17 4:30 PM O: 5385.25 H: 5386.75 L: 5384.75 C: 5385.5 R: 2

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/NQ 5 d 275t D: 3/1/17 4:59 PM O: 5385.5 H: 5386.25 L: 5384.75 C: 5385.5 R: 1.5

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/NQ 5 d 6875t D: 3/1/17 4:30 PM O: 5385.25 H: 5386.75 L: 5384.75 C: 5385.5 R: 2

① IV%: 34 2017 © TD Ameritrade IP Company, Inc.



/NQ 5 d 275t D: 3/1/17 4:59 PM O: 5385.5 H: 5386.25 L: 5384.75 C: 5385.5 R: 1.5

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Now IBM on Weekly/Daily chart....





IBM 3yW D: 11/10/14 O: 161.9 H: 164.49 L: 161.16 C: 164.16 R: 2.88 Y: 193.45

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IBM 2yD D: 12/25/14 Y: 192.01

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IBM 3yW D: 4/13/15 O: 162.37 H: 164.96 L: 160.03 C: 160.67 R: 4.93 Y: 187.07

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IBM 2yD D: 4/16/15 O: 163.31 H: 163.98 L: 162.54 C: 163.13 R: 1.44 Y: 187.03

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IBM 3yW D: 7/27/15 O: 159 H: 162.06 L: 158.5 C: 161.99 R: 3.56 Y: 177.95

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IBM 2yD D: 7/28/15 O: 159.91 H: 160.19 L: 158.5 C: 160.05 R: 1.69 Y: 177.9

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IBM 3y W D: 8/10/15 O: 156.77 H: 157.47 L: 153.95 C: 155.75 R: 3.52 Y: 183.76

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IBM 2y D D: 8/17/15 O: 155.2 H: 156.69 L: 154.7 C: 156.31 R: 1.99 Y: 183.75

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Let's finish up tonight by looking at some other charts...either multiple timeframes or single timeframe hard right edge?